NOTE 11 – INCOME TAXES

The Company has available net operating loss carry-forwards for financial statement and federal income tax purposes. These loss carry-forwards expire if not used within 20 years from the year generated. The Company's management has decided a valuation allowance is necessary to reduce any tax benefits because the available benefits are more likely than not to expire before they can be used. The tax based accumulated deficit creates tax benefits in the amount of $5,068,598 from inception through May 31, 2014.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial statement purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax liabilities and assets as of May 31, 2014 and 2013 are as follows:

	May 31,	
	2014	**2013**
Deferred tax assets	5,068,598	4,801,271
Valuation allowance	(5,068,598)	(4,801,271)
Total deferred tax assets	$ -	$ -

The valuation allowance for deferred tax assets as of May 31, 2014 and 2013 was $5,068,598 and $4,801,271, respectively. In assessing the recovery of the deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income in the periods in which those temporary differences become deductible. Management considers the scheduled reversals of future deferred tax liabilities, projected future taxable income, and tax planning strategies in making this assessment. As a result, management determined it was more likely than not the deferred tax assets would not be realized as of May 31, 2014 and 2013, and maintained a full valuation allowance.

Reconciliation between the statutory rate and the effective tax rate is as follows for the years ended May 31, 2014 and 2013:

Federal statutory tax rate	(35.0)%
Permanent differences and valuation allowance	35.0%
Effective tax rate	0.0%